AMC is the single manager for air mobility by providing airlift, air refueling, special air mission, and aeromedical evacuation for U.S. forces. AMC also supplies forces to theater commands to support wartime tasking.

MSC supports the nation by providing marine transportation to satisfy DoD sealift requirements, which includes delivering supplies and conducting specialized missions across the world's oceans.

SDDC provides global surface deployment and distribution services to meet the nation's objectives.

USTRANSCOM's Component Commands provide the critical link to the Services' core competencies in organizing, training, and equipping forces. They provide lines of communication to the Services, ensuring assets are available when needed for the transition from peace to war. The surge from peacetime sustainment to a massive deployment of people and material in support of Overseas Operations is an example of USTRANSCOM's ability to execute the mission. USTRANSCOM's successes result from the synergy of military and commercial lift (air, land, and sea), air refueling, port operations, and afloat prepositioning - all requiring the team efforts of the Commander's Staff and the components. Together with its components and national partners, USTRANSCOM is building a truly seamless, end-to-end defense transportation enterprise.

Air Force Initiatives

AFSC continues to evaluate supply chain and maintenance processes to improve weapon system and equipment availability and to deliver customer support with increased velocity. Sustained emphasis is on cost control in order to provide the best value to the customer.

AFSC is pursuing alternative manufacturing technologies, additive manufacturing, establishing a reverse engineering and manufacturing framework to rapidly solve availability issues derived from DMSMS, supply chain risk, and obsolescence challenges. They are modernizing spares requirements planning to optimize inventory, and a multitude of other initiatives aimed at streamlining the supply chain process.

AFSC's Maintenance efforts are contributing to Air Force readiness and sustainability by providing a cost-effective, rapid repair capability. CSAG-M seeks to provide continuous core Air Force depot capability to retain in-house sources of technical competence; to continue to refine methods which enable the more efficient use of resources such as partnering with private industry, employing government owned/contractor operated facilities and augmenting in-house operations; and to find innovative ways to decrease flow days for systems and components, increase parts availability to the repair line, and control material costs through process reviews and adoption of commercial practices and engineering standards.

Direct Appropriations

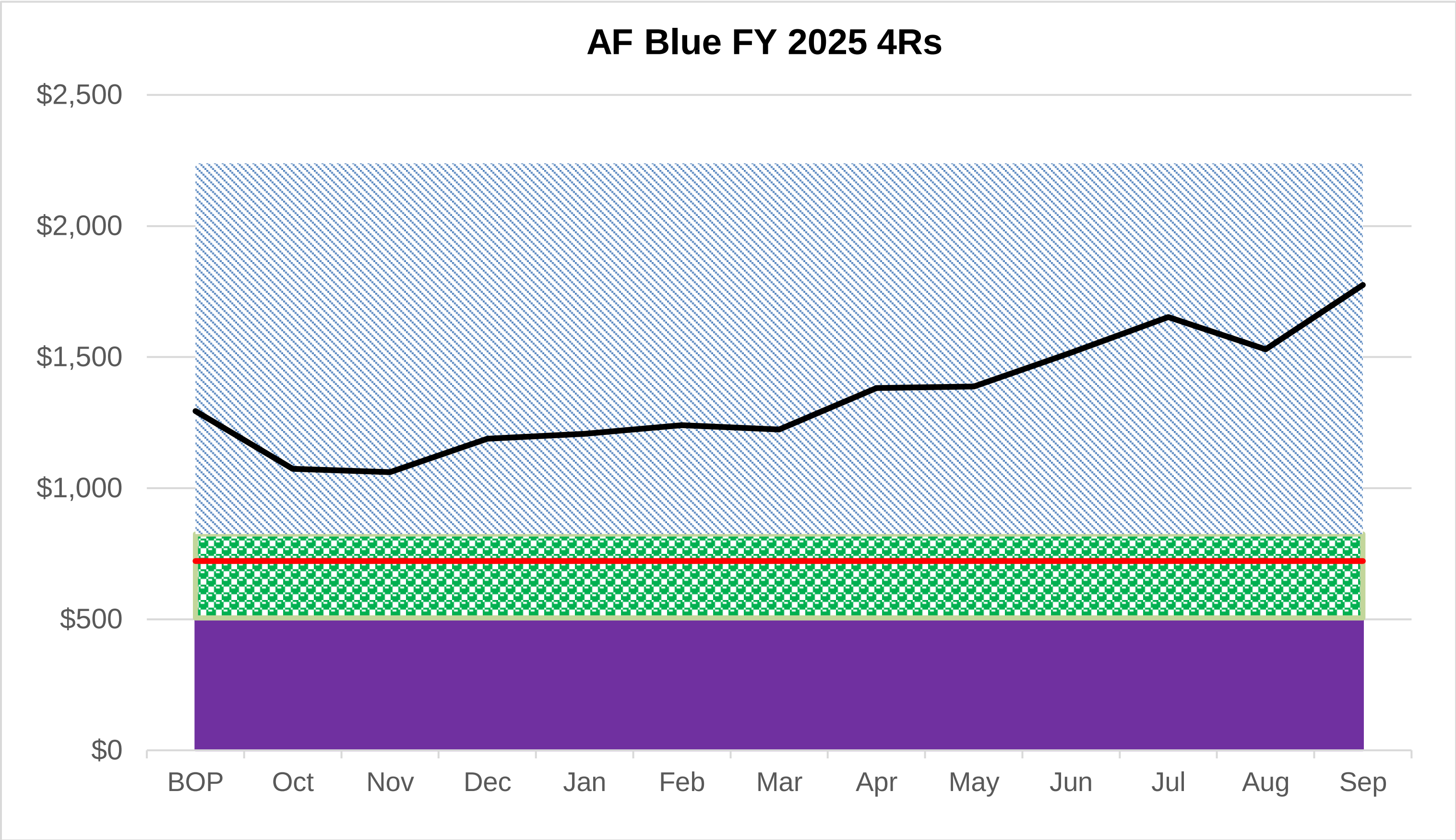
In FY 2023, AFWCF received $80.4 million in direct appropriation for Medical Dental WRM requirements. In FY 2024 Air Force requested $83.6 million and in FY 2025 Air Force requests a total of $86.9 million in direct appropriations supporting Medical Dental WRM requirements.

AFWCF Financial Summary

(Dollars in Millions)	FY 2023	FY 2024	FY 2025
Total Revenue	28,239.2	29,176.6	30,704.1
Cost of Goods Sold	27,950.4	29,494.7	30,083.2
Net Operating Result Adjustments	5.0	(46.6)	2.0
Net Operating Result (NOR)	293.8	(364.7)	622.9
Accumulated Operating Result (AOR)	546.0	73.1	547.8
Civilian End Strength	33,848	34,735	35,110
Military End Strength	12,472	12,705	12,846
Civilian Workyears	32,839	32,973	33,579
Military Workyears	12,388	12,885	13,037
Capital Budget	281.2	312.6	359.5
Direct Appropriation[1]	80.4	80.4	86.9

[1] A full-year FY 2024 appropriation for this account was not enacted at the time the budget was prepared, therefore, the budget assumes the account is operating under the Further Continuing Appropriations and Other Extensions, 2024 (Public Law 118-22). The amounts included for FY 2024 reflect the annualized level provided by the continuing resolution.

Cash Management



The 4Rs

The methodology for calculating cash requirements consists of four elements: rate, range of operations, risk mitigation, and reserves (all of which are colloquially known the 4Rs in the AFWCF).

4Rs Graph Key	
	FY 2025 PB Plan
	Rate (Avg Disbursements)
	Range of Operations
	Risk Mitigation
	Reserves

The **Rate of Disbursements** for the AFWCF Blue FY 2025 PB was determined by dividing the total disbursements by the number of expected collection cycles for each division. The AF Blue collection cycles is a weighted average of all divisions rounded to nearest whole number. The weighting is based on the total disbursements.

The **Range of Operations** is the difference between the lowest and highest planned monthly cash estimate plus one-half of the rate of disbursement at the sub-activity group level. The AF Blue range is the sum of the sub-activity groups range. In FY 2025, the projected rate of disbursement is $733.2 million, and the lower range is $825.1 million. The upper range is $2,239.3 million. The difference between the two ranges results in $1,414.2 million as the basic operating range.

AFWCF Blue **Risk** mitigation addresses cash variability associated with unknown external variables and both day-to-day and seasonal volatility inherent to AFWCF operations. Historically customer demand is depressed during the first five months of the Fiscal Year, negatively impacting cash balances. This demand is further exacerbated by external stressors such as continuing resolution authority. This cyclical phenomenon occurs annually during the beginning of the fiscal year and poses risk of insolvency if limits are set too conservatively. During the last four to five months of the fiscal year customer demand and revenues typically increase to their highest levels. Risk mitigation is critical to AFWCF operations because it buffers low cash during the first five months of the next fiscal year. To mitigate seasonal volatility, we calculated the standard deviation from the mean for four years of historical disbursements data (FY 2020 – FY 2023). One standard deviation for this data is $106.6 million. In a normal distribution 68 percent of all data values lie within one deviation. The standard deviation value used for FY 2025 is based on three standard deviations and encompasses 99 percent of all data values minimizing the execution year risk. The reason three standard deviations were used for FY2025 is to ensure the cash lower limit is sufficient to pay average amount disbursed per collection cycle. This will result in a corresponding decrease in cash. Therefore, three standard deviations or $319.8 million is factored in for operational volatility to mitigate risk of insolvency to the fund.

Cash **Reserves** are held for cash balances that will be paid out in future cycles and late in the current cycle. The first category is Accumulated Operating Results (AOR) returned/recovered to or from customers through annual rates. The second reserve supports unliquidated obligations of the MDD's direct appropriation for WRM. No AOR return is held. The AOR retention for FY 2025 is $454.1 million, and is comprised primarily of GSD, CSAG-S and CSAG-M. The unliquidated appropriation amount for MDD WRM program is $51.1 million.